

EXECUTIVE STRATEGIC ASSESSMENT REPORT

Business Question: Should we launch an online custom mug store in India?

BUSINESS VIABILITY 76 / 100	AI CONFIDENCE 85%	MARKET RISK MEDIUM
--------------------------------	----------------------	-----------------------

01. Executive Summary

RECOMMEND LAUNCH WITH CONDITIONS: Proceed with print-on-demand model.

02. Strategic Drivers (Why This Decision?)

- High profit margins (₹25 to ₹50 per unit)
- Low upfront inventory holding cost
- Strong market demand

03. Key Risk Factors

- High Customer Acquisition Cost (CAC)
- Market saturation from low-cost competitors

04. Strategic Opportunities

- Niche market positioning with custom artwork
- High gross margins >70%

05. Recommended Decision

RECOMMENDATION: Proceed with a controlled pilot launch in niche market.

06. Implementation Roadmap

Phase 1 — Validate	• Test pricing tiers at ₹499/month • Conduct initial market research
Phase 2 — Pilot	• Launch controlled pilot with 100 units • Monitor retention
Phase 3 — Measure	• Compare net profit against target ₹30,000 • Identify operational risks
Phase 4 — Scale	• Expand marketing budget to ₹1,50,000

07. Success Metrics

- | | |
|--|---|
| ☐ Monthly Subscribers: 150+ | ☐ CAC: <₹100 |
| ☐ Customer Retention: >70% | ☐ Monthly Profit: >₹20,000 |

08. Conditions & Assumptions

- ☐ Marketing budget capped at ₹25,000
- ☐ Fixed overhead remains below ₹50,000

09. Conclusion

The business model is viable under a phased validation approach.

10. Follow-up Conversation

Q1: What happens if we reduce the price to ₹399?

AI Decision Engine: Reducing price to ₹399 lowers unit margin to ₹250, increasing break-even to 200 units.